

Japan Exchange Group, Inc. and Consolidated Subsidiaries
Consolidated financial results for Nine months ended December 31, 2013
(Japanese standards), unaudited

Company name: Japan Exchange Group, Inc.
 Code number: 8697 URL: <http://www.jpx.co.jp/en/index.html>
 Stock Exchange Listings: Tokyo
 Representative: Atsushi Saito, Director & Representative Executive Officer, Group CEO
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 Scheduled date of filing of quarterly report: February 13, 2014
 Scheduled date of start of dividend payment: —
 Preparation of 3Q earnings presentation material: Yes
 Holding of 3Q earnings announcement: None

1. Consolidated Financial Results for nine months ended December 31, 2013
(April 1, 2013 to December 31, 2013)

(Figures less than a million yen are omitted)

(1) Operating results

(Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income	
	million yen	%	million yen	%	million yen	%	million yen	%
Nine months ended December 31, 2013	89,102	—	40,127	—	42,082	—	24,396	—
Nine months ended December 31, 2012	—	—	—	—	—	—	—	—

(Note)

Comprehensive income:

Nine months ended December 31, 2013: ¥ 24,706 million / —%

Nine months ended December 31, 2012: ¥ — million / —%

	Net income per share	Diluted net income per share
	yen	yen
Nine months ended December 31, 2013	88.87	—
Nine months ended December 31, 2012	—	—

(2) Financial position

	Total assets	Total net assets	Equity capital ratio
	million yen	million yen	%
As of December 31, 2013	1,637,385	197,883	11.7
As of March 31, 2013	1,276,386	179,077	13.8

(Reference)

Shareholders' equity:

As of December 31, 2013: ¥ 192,241 million As of March 31, 2013: ¥176,529 million

***Note to financial position**

Clearing deposit money, etc. based on various rules which secure the safety of securities trading, etc. are recorded as the JPX group's assets and liabilities. Clearing deposit money, etc. are large in amount and fluctuate daily and, as a result, the above amounts are significantly impacted by such fluctuations. For the consolidated financial position of the JPX group excluding clearing deposit money, etc., please refer to page 6 "1. QUALITATIVE INFORMATION ON OPERATING RESULTS DURING THE CURRENT QUARTER, (2) Explanation on Financial Position" of the Appendix.

2. Dividends

	Dividend per share				
	First quarter	Second quarter	Third quarter	Fiscal year end	Annual
	yen	yen	yen	yen	yen
Year ended March 31, 2013	—	—	—	80.00	80.00
Year ending March 31, 2014	—	80.00	—		
Year ending March 31, 2014 (Forecast)				24.00	—

(Note) Change in dividend forecasts from the most recent announcement: None

* A 5-for-1 stock split was conducted with an effective date of October 1, 2013. The actual dividend amounts prior to such stock split are indicated for the fiscal year ended March 31, 2013 and the second quarter of the fiscal year ending March 31, 2014.

3. Forecast for the Fiscal Year ending March 31, 2014 (April 1, 2013 to March 31, 2014)

(Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income		Net income per share
	million yen	%	million yen	%	million yen	%	million yen	%	yen
For Year ending March 31, 2014	111,500	55.5	45,000	130.1	47,000	117.3	27,000	146.8	98.35

(Note)

Change in performance forecasts from the most recent announcement: None

* Due to a 5-for-1 stock split which was conducted with an effective date of October 1, 2013, the net income per share of the consolidated earnings forecast for the fiscal year ending March 31, 2014 was calculated based on the average number of shares for the current fiscal year after such stock split.

* Notes

- (1) Changes in significant subsidiaries during the period (Changes in specified subsidiaries that caused changes in the scope of consolidation): None
- (2) Adoption of peculiar accounting methods for quarterly consolidated financial statements: None
- (3) Changes in accounting policies / changes in accounting estimates / restatements
- 1) Changes pursuant to revision of accounting policies: None
 - 2) Changes other than the above: None
 - 3) Changes in accounting estimates: Yes
 - 4) Restatements: None
- (4) Number of issued shares (common stock)
- 1) Number of issued shares at the end of the period (including treasury shares):
 - As of December 31, 2013: 274,534,550 shares
 - As of March 31, 2013: 274,534,550 shares
 - 2) Number of treasury shares at the end of period:
 - As of December 31, 2013: 2,655 shares
 - As of March 31, 2013: — shares
 - 3) Average number of shares:
 - Nine months ended December 31, 2013: 274,533,481 shares
 - Nine months ended December 31, 2012: — shares
- (Note) Due to a 5-for-1 stock split which was conducted with an effective date of October 1, 2013, the number of shares is calculated as if such stock split was implemented at the beginning of the previous consolidated accounting year.

*Disclosure regarding the execution of the quarterly review process

This release is outside the scope of the external auditor's quarterly review procedure which is required by the "Financial Instruments and Exchange Act". Therefore, the quarterly review process has not been completed as of this disclosure in this release.

*Explanation of appropriate use of forecast and other special items

This material contains earnings forecast and other forward-looking statements which are based on available information and certain assumptions that are considered reasonable at the time of preparation. Various factors may cause actual results, etc. to be materially different from those expressed in these forward-looking statements.

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(Appendix)

Contents of Appendix

1. QUALITATIVE INFORMATION ON OPERATING RESULTS DURING THE CURRENT QUARTER ...2	
(1) Explanation on Operating Results ...2	
(2) Explanation on Financial Position ...6	
(3) Explanation on Forecast Information such as Consolidated Earnings Forecast, etc. ...7	
2. OTHER INFORMATION ...7	
(1) Changes in accounting policies / Changes in accounting estimates / Restatements ...7	
3. CONSOLIDATED FINANCIAL STATEMENTS ...8	
(1) Consolidated Balance Sheets ...8	
(2) Consolidated Statements of Income and Consolidated Statements of Comprehensive Income ...10	
(3) Note on Consolidated Financial Statements ...12	
(Notes on Going-Concern Assumption) ...12	
(Material changes in shareholders' equity) ... 12	

1. QUALITATIVE INFORMATION ON OPERATING RESULTS DURING THE CURRENT QUARTER

(1) Explanation on Operating Results

Japan Exchange Group, Inc.(hereinafter "JPX") was established on January 1, 2013 through a business combination between Tokyo Stock Exchange Group, Inc. and Osaka Securities Exchange Co., Ltd.(hereinafter "OSE"). Consolidated quarterly financial statements for the previous consolidated cumulative third quarter were not prepared as JPX. As such, comparisons of financial results with those of the previous fiscal year are not available.

The consolidated results of JPX during the consolidated cumulative third quarter (from April 1, 2013 to December 31, 2013) were operating revenue of ¥89,102 million, operating expenses of ¥48,975 million, operating income of ¥40,127 million, and ordinary income of ¥42,082 million.

Due to factors such as recording impairment losses as extraordinary loss in connection with the consolidation of system bases, income before income taxes and minority interests was ¥41,125 million and net income was ¥24,396 million.

<Reference>

	Nine months ended December 31, 2012		Nine months ended December 31, 2013	
		As of December 31, 2012		As of December 31, 2013
TOPIX	695.51points ~859.80points	859.80points	991.34points ~1,302.29points	1,302.29points
Nikkei 225	¥8,295.63 ~¥10,395.18	¥10,395.18	¥12,003.43 ~¥16,291.31	¥16,291.31
Market capitalization*	244,661.9billion ~300,797.1billion	300,797.1billion	350,135.2billion ~467,618.1billion	467,618.1billion

* Market capitalization of the TSE 1st Section, 2nd Section and Mothers.

(Operating revenue)

1) Trading participant fees

Trading participant fees comprise "Basic Fees" based on the types of the trading participant's trading qualification, "Transaction Fees" based on the value of securities traded or volume of derivatives traded, "Access Fees" based on the number of orders, and "Trading System Facilities Usage Fees" based on the types of trading system facilities used.

During the consolidated cumulative third quarter, trading participant fees were ¥41,448 million.

Breakdown of trading participant fees

(millions of yen)

	Nine months ended December 31, 2013
Trading participant fees	41,448
Transaction fees	34,796
Cash equities	24,580
Derivatives	10,216
TOPIX futures	1,486
Nikkei 225 futures	3,630
Nikkei 225 options	3,684
10-year JGB futures	1,223
Others	190
Basic fees	912
Access fees	3,782
Trading system facilities Usage fees	1,877
Others	79

<Reference>

Equities trading value and derivatives trading volume or value

	Daily average			Total		
	Nine months ended December 31, 2012	Nine months ended December 31, 2013	Change(%)	Nine months ended December 31, 2012	Nine months ended December 31, 2013	Change(%)
【Cash equities】*						
TSE 1 st Section, (¥millions)	1,211,871	2,701,191	122.9	226,619,955	505,122,773	122.9
TSE 2 nd Section (¥millions)	4,820	20,308	321.4	901,247	3,797,509	321.4
Mothers (¥millions)	13,103	131,004	899.8	2,450,294	24,497,728	899.8
JASDAQ (¥millions)	20,169	115,748	473.9	3,771,647	21,644,931	473.9
【Derivatives】						
TOPIX futures (contracts)	61,572	93,680	52.1	11,513,979	17,518,093	52.1
Nikkei 225 futures (contracts)	78,365	125,873	60.6	14,654,312	23,538,325	60.6
Nikkei 225 mini futures (contracts)	530,765	953,411	79.6	99,253,031	178,287,888	79.6
Nikkei 225 options (¥millions)	18,693	41,893	124.1	3,495,547	7,833,928	124.1
10-year JGB futures (contracts)	36,326	34,506	(5.0)	6,793,008	6,452,625	(5.0)

* Figures indicated are the trading value of common stocks in the auction and off-auction trading. Stock trading values of the TSE 1st and 2nd Sections include those of the OSE 1st and 2nd Sections before cash market integration.

2) Listing fees

Listing fees comprise the "Initial/Additional Listing Fees" that are received based on the issue amount when a company initially lists or when a listed company issues additional shares, and "Annual Listing Fees" received from listed companies based on their market capitalization.

During the consolidated cumulative third quarter, listing fees were ¥9,098 million.

Breakdown of listing fees

(millions of yen)

	Nine months ended December 31, 2013
Listing fees	9,098
Initial/Additional listing fees	3,874
Annual listing fees	5,223

<Reference>

Number of listed companies, ETFs, ETNs and REITs

(Company)

	New listed companies			Total listed companies		
	Nine months ended December 31, 2012	Nine months ended December 31, 2013	Change	As of December 31, 2012	As of December 31, 2013	Change
TSE 1 st and 2 nd Sections	15	19	4	2,317	2,341	24
Technical listings	8	9	1			
Mothers	20	26	6	182	193	11
Technical listings	0	2	2			
JASDAQ	14	11	(3)	912	877	(35)
Technical listings	2	1	(1)			
Total	49	56	7	3,411	3,411	0
Technical listings	10	12	2			

(Note 1) The number of new listed companies excludes those listed via the TSE or OSE market before cash market integration.

The number of total listed companies excludes companies cross-listed on the TSE or OSE market before cash market integration.

(Note 2) The number of new listed companies and total listed companies on the TSE 1st and 2nd Sections include those on the OSE 1st and 2nd Sections before cash market integration.

(Note 3) Technical listings refer to new listings of companies that were established due to mergers and stock transfers, etc.

(Issue)

	New listed issues			Total listed issues		
	Nine months ended December 31, 2012	Nine months ended December 31, 2013	Change	As of December 31, 2012	As of December 31, 2013	Change
ETFs	7	12	5	132	147	15
ETNs	0	8	8	10	22	12
REITs	4	4	0	37	43	6
Technical listings	0	0	0			

(Note 1) Include the number of new and existing listed issues on the OSE markets before cash market integration.

(Note 2) Technical listings refer to new listings of issues that were established due to mergers and stock transfers, etc.

Fund raising by listed companies

(millions of yen)

	Nine months ended December 31, 2012	Nine months ended December 31, 2013	
			Change (%)
Financing by listed companies	1,915,638	2,125,002	10.9

(Note) Total amount of fund-raising via shareholder allotments, public offerings (including initial public offerings), third-party allotments, preferred stocks, and convertible bonds exercise and stock options.

3) Income from information services

Income from information services is comprised of income related to the provision of corporate action information and various other information, primarily consisting of fees for market information provided to information vendors (market information fees), and also income related to the index business.

During the consolidated cumulative third quarter, income from information services was ¥11,962 million.

4) Income from securities settlement

Income from securities settlement is derived from settlement commissions related to the assumption of financial instrument obligations carried out by Japan Securities Clearing Corporation.

During the consolidated cumulative third quarter, income from securities settlement was ¥15,645 million.

5) Other operating revenue

Other operating revenue consists of "network line usage fees", "Co-location Usage Fees", "Proximity Usage Fees", and fees for system development and operations provided by TOSHO SYSTEM SERVICE CO., LTD. "Network line usage fees" related to use of the networks which connect trading systems, market information systems, etc. to trading participants and users. "Co-location Usage Fees" are those for using the service which allows trading participants to place their devices, etc. within the system center for the purpose of accelerating trade execution, etc. "Proximity Usage Fees" are those for using the proximity service which diversifies connectivity to domestic and foreign markets, and can be used by trading participants and market-related parties, such as information vendors.

During the consolidated cumulative third quarter, other operating revenue was ¥10,948 million.

Breakdown of other operating revenue

(millions of yen)

	Nine months ended December 31, 2013
Other operating revenue	10,948
Network line usage fees	2,631
Co-location Usage Fees, Proximity Usage Fees	1,882
Other	6,434

(Operating expenses)

During the consolidated cumulative third quarter, personal expenses were ¥11,117 million.

System maintenance & operation costs consist of maintenance and operation costs for trading system and other systems. During the consolidated cumulative third quarter, system maintenance & operation costs were ¥8,733 million.

During the consolidated cumulative third quarter, depreciation was ¥9,929 million.

During the consolidated cumulative third quarter, other operating expenses were ¥19,195 million.

(2) Explanation on Financial Position

(Assets, liabilities and equity)

Clearing deposit money, etc. (margin funds for derivatives, etc. and when-issued transactions, deposits for clearing funds, and deposits as collateral for facilitating settlement), legal guarantee funds, deposits received as trading participant security money, and default compensation reserve funds, all of which hedges risks of securities trading based on various rules, are recorded as assets and liabilities. Out of these assets and liabilities, clearing deposit money, etc. are large in amount and fluctuate daily in line with clearing participants' positions and stock price movements, and, as a result, the amounts of JPX group's assets and liabilities are significantly impacted by fluctuations in these clearing funds, etc.

Total assets as of December 31, 2013 increased ¥360,999 million from the end of the previous fiscal year to ¥1,637,385 million as a result of an increase in clearing deposit money, etc. due to increase in trading, etc. Excluding clearing deposit money, etc., legal guarantee funds, and default compensation reserve funds, assets decreased by ¥30,173 million from the end of the previous fiscal year to ¥257,375 million due to factors such as a decrease in cash deposits in connection with accelerated repayment of short-term loans.

Total liabilities as of December 31, 2013 increased ¥342,193 million from the end of the previous fiscal year to ¥1,439,502 million as a result of an increase in clearing deposit money, etc. Excluding clearing deposit money, etc., legal guarantee funds, and deposits received as trading participant security money, liabilities decreased ¥50,656 million from the end of the previous fiscal year to ¥82,593 million due to repayment of loans.

Total net assets as of December 31, 2013 increased ¥18,806 million from the end of the previous fiscal year to ¥197,883 million as the result of including net income under retained earnings. In addition, after excluding default compensation reserve funds, total net assets were ¥169,935 million.

<Reference>

	Total assets	Total net assets	Equity capital ratio
	million yen	million yen	%
As of March 31, 2013	1,276,386	179,077	13.8
	^{*1)} 287,548	^{*2)} 151,129	^{*3)} 51.7
As of December 31, 2013	1,637,385	197,883	11.7
	^{*1)} 257,375	^{*2)} 169,935	^{*3)} 63.8

(Notes)

- 1) Figures marked “*1)” under “Total assets” exclude “Margin funds for derivatives, etc. and when-issued transactions”, “Deposits for clearing funds”, “Deposits as collateral for facilitating settlement”, “Legal guarantee funds”, and “Special assets for default compensation reserve funds”.
- 2) Figures marked “*2)” under “Total net assets” exclude “Default compensation reserve funds”.
- 3) Figures marked “*3)” under “Equity capital ratio” are calculated excluding “Margin funds for derivatives, etc. and when-issued transactions”, “Deposits for clearing funds”, “Deposits as collateral for facilitating settlement”, “Legal guarantee funds”, and “Special assets for default compensation reserve funds” from total assets, and excluding “Default compensation reserve funds” from total net assets.

(3) Explanation on Forecast Information such as Consolidated Earnings Forecast, etc.

(i) Consolidated Earnings Forecast

There are no revisions to the consolidated earnings forecast from the forecast figures announced in the "Notice of Revision to Earnings Forecast and Dividend Forecast" dated January 27, 2014.

Also, this consolidated earnings forecast is based on the assumption that the daily average trading values/volumes are ¥2.80 trillion for stocks (*1), 32,000 contracts for 10-year JGB futures, 92,000 contracts for TOPIX futures, 213,000 contracts for Nikkei 225 futures(*2), and ¥38.0 billion for Nikkei 225 options.

*1) The trading value of stocks listed on the First Section, the Second Section, Mothers, JASDAQ, and the TOKYO PRO Market of TSE (including auction and off-auction trading, as well as those of the former First and Second Sections of OSE).

*2) Includes trading volume of Nikkei 225 futures mini contracts converted to Nikkei 225 futures large-sized contracts.

(ii) Dividend Forecast

There are no revisions to the dividend forecast from the forecast figures announced in the "Notice of Revision to Earnings Forecast and Dividend Forecast" dated January 27, 2014.

Also, the dividend payout ratio of JPX is targeted at approximately 40% based on our policy of stable and continuous dividend payment, giving due consideration to the importance of internal reserves for system development aimed at enhancing competitiveness and self-regulatory functions as an exchange, and for provision against risks as a clearing organization.

2. OTHER INFORMATION

(1) Changes in accounting policies / Changes in accounting estimates / Restatements

(i) Changes in accounting estimates

In the consolidated second quarter accounting period, Osaka Securities Exchange Co., Ltd., a consolidated subsidiary, conducted a review of the useful life of the fixed assets whose period of use became shorter due to the decision to transition to other systems.

Due to this, operating income, ordinary income, and income before income taxes and minority interests during the consolidated cumulative third quarter decreased ¥418 million respectively in comparison with those calculated by the previous method.

3. CONSOLIDATED FINANCIAL STATEMENTS

(1) Consolidated Balance Sheets

(millions of yen)

	As of March 31, 2013	As of December 31, 2013
Assets		
Current assets		
Cash and deposits	120,808	88,699
Operating accounts receivable	8,716	11,422
Securities	—	804
Work in process	2,467	40
Margin funds for derivatives, etc. and when-issued transactions	789,201	1,143,030
Deposits for clearing funds	161,086	197,881
Deposits as collateral for facilitating settlement	10,000	10,500
Other	3,195	10,117
Allowance for doubtful accounts	(9)	(14)
Total current assets	1,095,466	1,462,482
Noncurrent assets		
Property, plant and equipment	8,673	6,927
Intangible assets		
Goodwill	67,374	64,792
Other	23,370	22,825
Total intangible assets	90,744	87,618
Investments and other assets		
Investment securities	41,304	39,808
Legal guarantee funds	600	649
Special assets for default compensation reserve funds	27,948	27,948
Other	11,825	12,091
Allowance for doubtful accounts	(177)	(140)
Total investments and other assets	81,501	80,357
Total noncurrent assets	180,919	174,902
Total assets	1,276,386	1,637,385

(millions of yen)

	As of March 31, 2013	As of December 31, 2013
Liabilities		
Current liabilities		
Operating accounts payable	3,221	2,766
Short-term loans payable	18,670	32,500
Current portion of long-term loans payable	86,399	—
Income taxes payable	6,312	12,765
Provision for bonuses	1,223	497
Provision for directors' bonuses	252	20
Margin funds received for derivatives, etc. and when-issued transactions	789,201	1,143,030
Deposits received for clearing funds	161,086	197,881
Deposits received as collateral for facilitating settlement	10,000	10,500
Deposits received as trading participant security money	3,169	4,846
Other	3,620	10,473
Total current liabilities	1,083,157	1,415,282
Noncurrent liabilities		
Long-term loans payable	—	10,000
Provision for retirement benefits	7,580	7,497
Returnable legal guarantee funds	600	649
Other	5,970	6,072
Total noncurrent liabilities	14,151	24,220
Total liabilities	1,097,308	1,439,502
Net assets		
Shareholders' equity		
Capital stock	11,500	11,500
Capital surplus	59,726	59,726
Retained earnings	96,213	111,825
Treasury stock	—	(5)
Total shareholders' equity	167,440	183,046
Accumulated other comprehensive income		
Valuation difference on available-for-sale securities	9,088	9,195
Total accumulated other comprehensive income	9,088	9,195
Minority interests	2,548	5,641
Total net assets	179,077	197,883
Total liabilities and net assets	1,276,386	1,637,385

(2) Consolidated Statements of Income
and Consolidated Statements of Comprehensive Income
(Consolidated Statements of Income)

(millions of yen)

	Nine months ended December 31, 2013
Operating revenue	
Trading participant fees	41,448
Listing fees	9,098
Income from information services	11,962
Income from securities settlement	15,645
Other	10,948
Total operating revenue	89,102
Operating expenses	
Personal expenses	11,117
System maintenance & operation costs	8,733
Depreciation	9,929
Other	19,195
Total operating expenses	48,975
Operating income	40,127
Non-operating income	
Interest income	215
Dividends income	1,059
Equity in earnings of affiliates	671
Other	94
Total non-operating income	2,041
Non-operating expenses	
Interest expenses	70
Other	16
Total non-operating expenses	86
Ordinary income	42,082
Extraordinary loss	
Impairment loss	956
Total extraordinary losses	956
Income before income taxes and minority interests	41,125
Income taxes	16,526
Income before minority interests	24,599
Minority interests in income	202
Net income	24,396

(Consolidated Statements of Comprehensive Income)

(millions of yen)

Nine months ended
December 31, 2013

Income before minority interests	24,599
Other comprehensive income	
Valuation difference on available-for-sale securities	106
Share of other comprehensive income of associates accounted for using equity method	0
Total other comprehensive income	106
Comprehensive income	24,706
(Breakdown)	
Comprehensive income attributable to owners of the parent	24,503
Comprehensive income attributable to minority interests	202

(3) Note on Consolidated Financial Statements

(Note on Going-concern Assumption)

Not applicable

(Material changes in shareholders' equity)

Not applicable

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